CREDIT COMMITTEE MEMORANDUM

Harborview Securities LLC — Leveraged Finance

Date of memorandum: 12 March 2026

Subject: Project Kestrel — indicative credit assessment, preliminary round

This memorandum records the preliminary committee discussion held in March 2026 during the first round of negotiation. It was prepared to frame the indicative structure and is circulated for background.

1. Transaction summary

The sponsor proposes to acquire the target in a leveraged transaction funded by a sponsor equity cheque, a drawn revolver and an incremental term loan. The target has senior unsecured notes outstanding and a municipal conduit financing on one plant.

At the time of this memorandum the purchase price mechanics were unsettled and the diligence record was incomplete. Figures below are indicative.

1a. Strategic rationale, as presented to the committee

The sponsor's case for the transaction, as presented to the committee at this round, rests on combining the target's existing plant and customer relationships with the sponsor's own platform in the same sector, on the premise that a combined entity can realize the cost savings and revenue enhancements discussed in Section 6 below more quickly than either business could achieve alone. The committee's role at this stage is limited to assessing the credit implications of the financing structure required to fund the acquisition; it is not asked to and does not opine on the commercial merits of the sponsor's strategic case, which remains the sponsor's own to make.

The team also noted, for completeness, that the target's senior unsecured notes and its municipal conduit financing are both pre-existing obligations the sponsor proposes to leave in place rather than refinance in full at closing, which is why both are discussed at length in Section 5 below rather than treated as a use of proceeds in the sources and uses table that follows.

The committee's practice, recorded here for a later reader unfamiliar with it, is to review a proposed transaction at least twice before any commitment is issued: once at this preliminary round, on the indicative structure and the diligence plan, and again at a confirmatory round once the quality-of-earnings work, the legal diligence and the market data referenced in Section 4 below are complete. This memorandum is the record of the first of those two rounds only.

1b. Sources and uses as then proposed

The deal team also circulated an indicative sources and uses table for the committee's information at this round. The table is preliminary and none of its entries should be read as a commitment; the purchase price consideration line in particular is a placeholder pending the mechanism the parties had not yet settled.

Sources	Amount
Sponsor equity contribution	[to be finalized]
Revolving credit facility draw at close	[to be finalized]
Incremental term loan proceeds	[to be finalized]
Total sources	[to be finalized]
Uses	Amount
Purchase price consideration (unsettled)	[to be finalized]
Refinancing of existing indebtedness	[to be finalized]
Estimated fees and expenses	[to be finalized]
Total uses	[to be finalized]

The revolving credit facility itself carries a Committed Facility Exposure of 60,000,000.00, per the credit agreement's own revolving commitments section; the sources line above assumes a partial draw against that commitment rather than the full amount, consistent with the funding structure as then proposed.

The deal team noted that the illustrative facility exposure the approval matrix separately records is drawn from the same Committed Facility Exposure figure and should not be read as a second, independent number; the sources and uses table above is not intended to constrain, and does not itself

trigger, the approval-matrix process the matrix governs on its own terms.

2. Indicative leverage

The team modelled pro forma total net leverage on the structure as then proposed. The build is preliminary and does not reflect the final funds flow, the final working-capital settlement or any change-of-control repurchase.

2a. Build, as then modelled

The build as then modelled started from the trailing-twelve-month GAAP earnings base management supplied, added the addback categories the deal team had identified to that point - cost savings run-rate, the revenue enhancements the sponsor case assumed, and the smaller addback categories the credit agreement's own definition would eventually enumerate - and divided the resulting earnings measure into pro forma net debt, drawn to reflect the revolver draw then contemplated. Each input carried its own uncertainty at this stage: management's earnings base was subject to the quality-of-earnings work in progress described in Section 4 below, the addback categories had not been reconciled to the credit agreement's own clause-by-clause definition, and the revolver draw assumed a preliminary funds flow that had not been finalized.

Input	Status at date of memorandum
LTM EBITDA base (GAAP)	Management-supplied, unaudited for the interim period
Cost savings run-rate	Sponsor case, not yet independently verified
Revenue enhancements	Sponsor case, subject to the cap discussed in Section 6 below
Other addback categories	Identified, not yet reconciled to the credit agreement's own definition
Pro forma net debt	Assumes preliminary funds flow; revolver draw not finalized
Resulting leverage	Indicative only - see Section 3 for the limits then understood

The team also flagged, without attempting to resolve it at this round, that the credit view above is coupled to the purchase agreement's own price mechanics in ways that fall outside this committee's mandate: the earn-out structure the parties were discussing separately could, depending on its final terms, add contingent consideration in a later period that this leverage build does not capture, and the working-capital settlement mechanism discussed in Section 6 below could move the closing net debt figure in either direction. Both are purchase-agreement questions for the deal team and counsel to resolve, and neither is restated here as a credit limit.

The team recorded this coupling only so that a later reader does not mistake the leverage build above for one that already reflects the final purchase price mechanics; the credit view above is confined to the financing structure and does not attempt to anticipate how the purchase agreement negotiation resolves.

The team also flagged that the cost savings run-rate figure in the build above assumes a realization timeline the sponsor case supplied and the deal team had not independently tested; a slower realization than assumed would not itself change the figure entered in the build above, since the build takes the run-rate figure as a steady-state assumption rather than a phased-in one, but it would change how much of that steady-state figure the confirmatory diligence should expect to see achieved by closing.

3. Applicable limits, as understood at the date of this memorandum

The maintenance covenant level under the target's own credit agreement is 5.25x total net leverage. For internal approval the team applied a maximum pro forma total net leverage of 6.00x. That figure was taken from the credit policy edition in force during this round of negotiation.

The committee noted that the policy was then under review and that the applicable limit should be reconfirmed against the controlled copy before any commitment is issued.

4. Diligence gaps identified at this stage

The quality-of-earnings work was in progress. The addback schedule had not been reconciled to the credit agreement definition. The change-of-control analysis had not been performed.

The team flagged that the purchase agreement's net debt definition appeared to differ from the covenant definition and that the difference required resolution.

The gap register the committee kept at this stage is reproduced below for the file. A later memorandum, or the confirmatory diligence record itself, supersedes this table's status column - it does not supersede this memorandum's substantive findings, which stand on the date at the head of this memorandum.

Item	Owner	Status
QofE reconciliation of addback schedule to credit agreement definition	Deal team / QofE provider	In progress
Net debt definition reconciliation (purchase agreement vs. covenant)	Deal team	Not started
Change-of-control trigger and ratings-condition analysis	Deal team / Legal	Not started
Market data for the notes (published government curve)	Deal team	Requested
Municipal conduit guarantee treatment at closing	Deal team	Not started

4a. Escalation and reporting

Where an item in the gap register above is not closed by the date the deal team's own internal timeline contemplates, the deal team's practice is to report the delay to the committee at its next regularly scheduled meeting together with a revised target rather than waiting for the item to be closed before reporting it. This memorandum does not itself set a firm deadline for any item; the targets recorded in Section 7 below are the committee's own, attached to the conditions the committee imposed on further work, and are distinct from any internal deal-team timeline for the same items.

The committee also asked that any gap the deal team judges likely to move the indicative leverage estimate in Section 2 by a material amount be flagged to the committee immediately on discovery, rather than held for the next regularly scheduled reporting cycle; none of the gaps in the register above had been so flagged as of the date of this memorandum.

4b. Diligence approach

The deal team's diligence approach at this stage divides the work into financial, legal, tax and market workstreams, each reporting through the deal team lead rather than directly to the committee, so that a single point of contact can flag interactions among the workstreams' findings before they reach the committee. The financial workstream covers the quality-of-earnings review and the addback reconciliation discussed above; the legal workstream covers the change-of-control analysis and the review of the target's material contracts, including the notes indenture and the municipal conduit financing documents; the tax workstream covers the acquisition structure and the treatment of the target's existing tax attributes; and the market workstream covers the notes pricing data and the Treasury curve referenced in Section 4 above.

The committee asked that the deal team's confirmatory-round memorandum present each workstream's findings against the specific gap it was assigned to close in the register above, rather than as a general narrative update, so that the committee can see directly which preliminary-round gaps remain open going into the confirmatory recommendation.

The deal team noted that any exposure eventually proposed for this transaction will be routed for approval under the internal credit policy's own approval authority grid, based on the exposure band and the internal grade then applicable to the obligor; this memorandum takes no position on which grid tier the eventual exposure will fall into, since neither the final exposure amount nor the obligor's internal grade under the policy's own rating scale is yet known at this preliminary round.

5. Structural observations

The target's senior unsecured notes contain a change-of-control repurchase provision. The team had not at this stage established whether the provision is triggered by the proposed transaction, and noted that the provision appears to require a ratings condition in addition to the change of control itself.

If the provision is triggered, the repurchase obligation becomes a use of funds. The team observed that committed funding would need to be sized for full participation, since holders act individually and the buyer cannot rely on any holder declining to tender.

The municipal conduit financing on the plant carries a corporate guarantee. Whether that obligation is assumed or discharged at closing affects the net debt build, and the treatment differs depending on

which net debt definition is being applied.

The team separately noted, as a structural matter rather than a limits determination, that the credit agreement and the notes indenture do not necessarily share a single net debt definition for their own respective purposes, and that the purchase agreement's own definition is a third, distinct concept again; Section 4 above already records that the reconciliation among the three was outstanding, and this memorandum takes no position on which of them governs any particular question raised in confirmatory diligence.

5a. Rating cross-reference

For the rating cross-reference the deal team relies on, the most recent published rating agency action on the corporate notes rates them B+ (S&P). The change-of-control provision's ratings condition discussed above should be read against that published action rather than against an internal, unpublished view of the credit, and the deal team was instructed to obtain the rating agency's own action report directly rather than rely on a secondhand summary of it.

The committee noted that a rating agency's published scale and an internal grade under the firm's own credit policy are not interchangeable, and that the rating cross-reference above answers a different question - whether the ratings condition on the notes is satisfied - than the internal leverage gates discussed in Section 3, which turn on the firm's own policy rather than on any published rating.

5b. Notes covenant package, generally

As background for the committee, the notes indenture carries its own covenant package distinct from the credit agreement's maintenance covenants discussed in Section 3: an incurrence-based leverage test on new indebtedness rather than a maintenance test, a restricted-payments covenant, and the change-of-control repurchase provision already discussed above. None of the notes' own covenants were reported as at risk of breach as of the date of this memorandum; the team's attention at this stage was on the change-of-control provision specifically, because it is the one notes covenant the proposed transaction itself could trigger regardless of the target's ongoing operating performance.

The team noted that the municipal conduit financing's own documents likewise carry a separate covenant package running to the conduit issuer and the bond trustee rather than to the target's own lenders or noteholders, and that the guarantee discussed above is the mechanism by which the target's own credit is brought to bear on that separate financing; the guarantee itself does not import the conduit bonds' own covenants into the credit agreement or the notes indenture, and the team cautioned against assuming otherwise.

The team noted separately that the corporate guarantee's own release conditions, if any, had not yet been reviewed, and that the legal workstream described in Section 4b above was asked to confirm whether the guarantee survives a change of control at the target level or terminates on some other condition unrelated to the notes' own change-of-control provision; the two are governed by different instruments and need not move together.

The team recorded, for the confirmatory round, that the notes indenture's own change-of-control definition and the credit agreement's own change-of-control definition are not necessarily identical, and that the ratings condition discussed above modifies only the notes' own repurchase obligation, not the credit agreement's separate change-of-control provisions, which the legal workstream described in Section 4b above is reviewing separately.

6. Sensitivities discussed

The committee asked for leverage sensitivity to the addback schedule, on the basis that a material part of the earnings build rests on run-rate items that had not been reconciled to the credit agreement definition.

The team noted that the credit agreement expresses at least one addback cap as a percentage of the earnings measure calculated after giving effect to the addback, so the cap resolves to a different figure than a percentage of unadjusted earnings would suggest. The reconciliation was outstanding.

A second sensitivity was requested on the working-capital settlement, since the mechanism and the target level were both unsettled at the date of this memorandum.

6a. Synergy cap

The synergy cap itself, as the credit agreement's own Consolidated EBITDA definition states it, limits the revenue-enhancement component of the addback build to 10.00% of Consolidated EBITDA calculated after giving effect to every other addback category, including cost savings and other synergies, none of which carry a cap of their own under that same clause. The committee's sensitivity request in the paragraph above is directed at exactly this mechanic: because the cap is measured against the post-addback result rather than the unadjusted earnings base, the deal team's own arithmetic must apply the cap correctly or the modelled leverage understates the effect of a revenue-enhancement claim that turns out to be unsupportable.

Diligence to date had not established which of the sponsor's claimed revenue enhancements, if any, would ultimately be classified as cost savings or operating expense reductions rather than revenue enhancements for purposes of the synergy cap; that classification question is itself outstanding and was flagged for the confirmatory phase, since a reclassification in either direction changes which figure the cap constrains.

6b. Interaction with the working-capital sensitivity

The committee's second sensitivity request, on the working-capital settlement discussed above, interacts with the synergy cap discussion in one respect worth recording: both feed the same pro forma leverage estimate in Section 2, one through the numerator (net debt, as affected by the working-capital settlement) and one through the denominator (Consolidated EBITDA, as affected by the cap). A deal team that resolves one sensitivity favorably and the other unfavorably could still see the net effect on leverage move against the transaction, and the committee asked that the confirmatory-round memorandum present the two sensitivities together rather than in isolation for exactly that reason.

Neither sensitivity was quantified at this round; the committee's request was for the deal team to build both into the confirmatory leverage estimate directly, rather than to present them as a separate, standalone sensitivity table.

6c. Scope carried into the confirmatory round

Taken together, Sections 6a and 6b above define the scope of what the confirmatory-round memorandum must resolve on the earnings side of the leverage build: which of the sponsor's claimed revenue enhancements are properly classified as such rather than as cost savings, what the resulting synergy-cap-constrained addback figure is once that classification is settled, and how the working-capital settlement mechanism affects the net debt side of the same ratio. The committee treated these as a single combined question for the confirmatory round rather than as two independent items, because a deal team that resolves the classification question without also carrying through its effect on the cap arithmetic would understate, not merely omit, the resulting leverage figure.

The committee asked that the confirmatory-round memorandum show the arithmetic of the cap calculation explicitly, rather than presenting only the resulting Consolidated EBITDA figure, so that a reviewer who was not present at this preliminary round can verify that the cap was applied to the post-addback result rather than to the unadjusted earnings base.

7. Conditions the committee attached to further work

The committee's discussion of the conditions below reflects its assessment that no single diligence gap identified in Section 4 was, by itself, disqualifying, but that the combination of open items left the indicative leverage estimate in Section 2 more uncertain than the committee was prepared to carry into a firm recommendation at this round.

First, reconcile the earnings build to the credit agreement's own definition, identifying each addback and each cap applied.

Second, resolve which net debt definition applies for which purpose, and document the difference

between them.
Third, complete the change-of-control analysis, including both the repurchase price and any alternative redemption price, and carry the higher exposure.
Fourth, reconfirm the applicable internal leverage gate against the controlled copy of the credit policy before any commitment is issued.
The committee assigned an owner and a target to each condition above, recorded here for the file:

Condition	Owner	Target
First - reconcile earnings build to the credit agreement's own definition	Deal team / QofE provider	Prior to confirmatory diligence sign-off
Second - resolve which net debt definition applies for which purpose	Deal team / Legal	Prior to purchase agreement execution
Third - complete the change-of-control analysis	Deal team / Legal	Prior to confirmatory diligence sign-off
Fourth - reconfirm the applicable internal leverage gate against the controlled policy copy	Deal team / Credit Officer	Before any commitment is issued

Where a condition's target above is not met, the deal team's escalation path is to report the delay to the committee at its next regularly scheduled meeting together with a revised target, consistent with the practice described in Section 4a; this memorandum does not itself extend or waive any condition, and no condition above may be treated as satisfied by the passage of its target date alone.

8. Diligence record as at the date of this memorandum

The quality-of-earnings provider had delivered a draft scope but no findings. The audited statements for the most recent fiscal year were available; the interim management accounts were available but unreconciled to them.
The purchase agreement was in draft and the price mechanism was not settled. Counsel had circulated a precedent from an unrelated European transaction as a drafting reference, and the committee cautioned that the precedent's mechanism differs from the one contemplated here and should not be read as reflecting the parties' intention.
Market data for the notes had not been obtained. The team was instructed to obtain the published government curve for the valuation date rather than relying on a prior-quarter model input.
The audited statements available at this stage covered the three most recently completed fiscal years; the interim management accounts covered the stub period through the most recent month-end for which management had closed its books, and the reconciliation between the two record sets remained outstanding pending the QofE provider's fieldwork.
The record of each workstream's status as of the date of this memorandum, cross-referenced to the diligence approach described in Section 4b above, is reproduced below for the file:

Workstream	Provider	Status at date of memorandum
Financial (QofE, addback reconciliation)	External QofE provider	Scope delivered, no findings yet
Legal (change-of-control, material contracts)	Deal counsel	Review commenced
Tax (structure, existing attributes)	External tax advisor	Preliminary structure memo requested
Market (notes pricing, Treasury curve)	Deal team	Curve request outstanding

None of the four workstreams above had delivered a final finding as of the date of this memorandum; each remained open against the gap register in Section 4 and the conditions in Section 7.
On the financial workstream specifically, the QofE provider's delivered scope covers the reconciliation of the addback categories discussed in Sections 2 and 6 above to the credit agreement's own Consolidated EBITDA definition, a review of the target's revenue recognition policies against the industry's usual practice, and a working-capital analysis intended to inform the sensitivity discussed in Section 6 above; none of the three had produced a finding as of this memorandum's date.
On the legal workstream, deal counsel's review to date had confirmed the existence of the change-of-control provision and the ratings condition discussed in Section 5 above, but had not yet reached a conclusion on whether the proposed transaction itself triggers the provision; counsel was separately

asked to confirm the municipal conduit financing's own assignment and assumption mechanics referenced in Section 5 above.

On the tax workstream, the external advisor's preliminary structure memo had not yet been received as of this memorandum's date; the committee asked that it address, at minimum, the treatment of the target's existing net operating losses and any change-of-control limitation on their use that the proposed transaction might trigger.

9. Preliminary recommendation

The committee's overall assessment at this preliminary stage is that the transaction remains directionally attractive subject to satisfactory resolution of the diligence gaps identified in Section 4 and confirmation of the applicable leverage gate discussed in Section 3; nothing in this memorandum should be read as prejudging either outcome.

Proceed to confirmatory diligence. Reconfirm the applicable internal leverage gate against the controlled policy copy. Complete the change-of-control assessment before committing funding.

This memorandum is preliminary guidance for the round in which it was issued. It is not an approval and it does not amend the credit policy. Readers should note the date at the head of this memorandum when considering whether the limits it quotes remain current.

9a. Committee sense and next steps

This memorandum does not itself record a formal Committee vote, because no specific exposure has yet been proposed for approval under the internal credit policy's own approval authority grid; the sense of the committee at this preliminary round, recorded informally for the file, was to support continued diligence on the terms discussed above without objection. A formal approval decision, when one is required, will be taken at the exposure band and grade the grid then indicates, consistent with the escalation path Article VI of the internal credit policy separately governs.

The deal team's next scheduled step is the confirmatory-round presentation to this committee, once the four workstreams in Section 8 above have each reported the findings the gap register in Section 4 and the conditions in Section 7 call for. No date certain was set for that presentation at this round; the deal team was asked to propose one once the QofE provider's fieldwork is further along.

APPENDIX A - CONSOLIDATED OPEN-ITEMS LIST

For the convenience of a reader who does not wish to cross-reference Sections 4 and 7 separately, the open items this memorandum identifies are consolidated below. This appendix restates rather than supersedes the gap register in Section 4 and the conditions in Section 7; where this appendix and either of those sections appear to diverge, the body section governs.

Open item	Source section	Owner
Addback schedule reconciliation to credit agreement definition	Section 4 / Section 7 (First)	Deal team / QofE provider
Net debt definition reconciliation across the three governing documents	Section 4 / Section 5 / Section 7 (Second)	Deal team / Legal
Change-of-control trigger and ratings-condition analysis	Section 4 / Section 5 / Section 7 (Third)	Deal team / Legal
Published government curve for the valuation date	Section 4	Deal team
Municipal conduit guarantee treatment at closing	Section 4 / Section 5b	Deal team
Applicable internal leverage gate reconfirmation	Section 3 / Section 7 (Fourth)	Deal team / Credit Officer
Revenue-enhancement classification for the synergy cap	Section 6a / Section 6c	Deal team / QofE provider
Working-capital settlement mechanism and target level	Section 2 / Section 6b	Deal team

None of the open items above is itself an annual-review item under the internal credit policy's own Article XIV calendar; that calendar applies once an exposure exists, and no exposure to this obligor exists as of the date of this memorandum. The open items above are instead pre-closing diligence items, tracked by the deal team and reported to this committee on the cadence Section 4a above describes.

APPENDIX B - GLOSSARY AND DISTRIBUTION

Glossary. Where this memorandum uses a term also defined in the credit agreement, the purchase agreement, or the internal credit policy, this memorandum's own usage is informal and does not restate or supersede the governing document's own defined term; the table below cross-references this memorandum's own discussion only.

Term	Where discussed in this memorandum
Consolidated EBITDA	Section 2 (build) and Section 6 (synergy cap)
Pro forma total net leverage	Section 2 and Section 3
Change of control	Section 5
Synergy cap	Section 6
Rating cross-reference	Section 5

Distribution. Committee Chair; Credit Officer; Deal Team Head; file copy retained with the credit file for this obligor. This memorandum is circulated to the distribution list above only and is not for further circulation without the Credit Officer's consent.

Appendix B-1 - Version history of this memorandum

This is the first and, as of the date of this memorandum, only version issued for this round of negotiation. It is distinct from the internal credit policy's own concept of a controlled copy, discussed in Section 3 above: the policy's controlled copy is the single, currently effective edition of that document, tracked in the policy's own Amendment Register, whereas this memorandum is a one-time record of a single committee discussion and carries no amendment history of its own. A later memorandum addressing the same transaction is a separate document, not a revised version of this one, and does not amend or supersede this memorandum's own text.